C O N F I D E N T I A L

Proposal for the Licensing of the

DSG Digital Mobile Platform

A Light MVNO Arrangement for Telgea

Prepared by: Digital Mobile (Pty) Ltd | A DSG Company

Prepared for: Telgea

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Web: www.mvne.co.za | www.dsg.co.za

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1. Executive Summary

This proposal presents a compelling opportunity for Telgea to enter the South African mobile telecommunications market as a fully operational Mobile Virtual Network Operator (MVNO), leveraging the industry-leading DSG Digital Mobile Platform provided by Digital Mobile (Pty) Ltd ("DM") — a wholly owned entity within the Digital Solutions Group ("DSG"). The arrangement described herein is structured as a light MVNO, whereby Telgea launches and operates a branded mobile service without the capital burden of building or owning network infrastructure, by licensing DM's fully managed MVNE platform and operational services.

1.1 The Partnership Opportunity

The South African MVNO market presents a significant and growing opportunity. Consumers are increasingly seeking competitive mobile offerings from brands they trust, while advances in MVNE technology have dramatically reduced the barriers to market entry. DM, as a specialist MVNE with established infrastructure, MNO relationships, and a proven deployment methodology, is uniquely positioned to enable Telgea to capture this opportunity rapidly and efficiently.

This proposal outlines a two-phase implementation programme — Implementation Scoping and Implementation & Business Simulation — delivering a fully operational MVNO service within approximately eight weeks of commencement. The programme has been designed to minimise Telgea's risk exposure, maximise speed-to-market, and establish a scalable commercial foundation for sustainable long-term growth.

1.2 DM's Value Proposition as an MVNE

DM offers Telgea a genuine turnkey solution. Rather than investing capital in platform development, regulatory compliance frameworks, MNO negotiations, and operational infrastructure, Telgea benefits immediately from DM's multi-year investment in building South Africa's most capable MVNE ecosystem. The DSG Digital Mobile Platform handles subscriber management, real-time billing, RICA compliance, provisioning, self-service portals, call centre operations, SIM logistics, and airtime distribution — all under Telgea's brand, all managed by DM.

This model allows Telgea to focus its energy on its core competency: marketing its mobile service, acquiring subscribers, and delivering an exceptional customer experience. DM handles the operational complexity so that Telgea does not have to.

1.3 Commercial Highlights

- Once-off setup investment of R250,000 (ex VAT) covers the full implementation programme, from discovery workshops through to Go Live and two weeks of post-launch hypercare.
- Monthly Management and Platform Fee of R15 per active subscriber or R75,000 per month (whichever is higher) provides cost transparency and scales proportionately with Telgea's subscriber growth.
- Net profit of R32.50 per subscriber per month at R100 ARPU (32.5% net margin) — highly attractive unit economics by any industry measure.
- Monthly break-even achieved at approximately 5,000 active subscribers — a realistic target for the first six months of operations.
- Scalable platform architecture accommodates growth from pilot-scale to hundreds of thousands of subscribers without costly migration or re-platforming.

1.4 Why DM and Why Now

DM brings unparalleled depth of experience in the South African MVNE ecosystem. As part of DSG — one of South Africa's most respected digital solutions groups, led by CEO Yaron Assabi — DM has the financial stability, technical talent, and strategic relationships to deliver consistently on its commitments. The combination of a proven platform, established MNO wholesale agreements, comprehensive regulatory compliance infrastructure, and a genuinely aligned commercial model makes DM the natural enabler for Telgea's mobile ambitions.

We are confident that the arrangement described in this proposal represents a sound commercial basis for a long-term, mutually beneficial partnership. We look forward to welcoming Telgea to the DSG family of MVNO partners.

2. About Digital Solutions Group and Digital Mobile

2.1 Digital Solutions Group (DSG)

Digital Solutions Group (DSG) is one of South Africa's premier technology and digital solutions conglomerates, with over two decades of experience delivering transformative technology services across a broad range of industries. Headquartered in Johannesburg, DSG operates across multiple verticals including mobile telecommunications, digital identity, customer experience (CX) technology, enterprise software, and fintech. The Group serves blue-chip clients in banking, insurance, retail, government, and telecommunications sectors throughout sub-Saharan Africa.

DSG is led by CEO Yaron Assabi, who brings three decades of technology entrepreneurship and innovation to the business. Under his leadership, DSG has established itself as a recognised authority in mobile and digital services, with a track record of delivering complex, high-stakes technology programmes for some of South Africa's largest organisations. DSG's operating philosophy is centred on creating measurable business value through deep domain expertise, robust technology delivery, and long-term client partnerships.

2.2 Digital Mobile (Pty) Ltd

Digital Mobile (Pty) Ltd ("DM") is DSG's own MVNO, focused exclusively on MVNE (Mobile Virtual Network Enablement) and MVNO services. DM operates the DSG Digital Mobile Platform and provides end-to-end enablement services to brands, enterprises, and entrepreneurs seeking to launch or operate mobile services in South Africa. DM's services are accessible through its dedicated MVNE portal at www.mvne.co.za and through the broader DSG group at www.dsg.co.za.

DM holds the necessary commercial relationships with South African Mobile Network Operators (MNOs) to provision wholesale voice, SMS, and data services for MVNO operators. These relationships — developed and maintained over many years — represent a significant competitive advantage: Telgea does not need to negotiate directly with MNOs, navigate complex interconnect agreements, or manage wholesale billing. DM handles all of this on Telgea's behalf, typically on terms that would be unachievable for a single-operator negotiating independently.

2.3 MVNE Capabilities and Track Record

As an MVNE, DM provides the full technology and operational stack that enables MVNO operators to launch and run mobile services without owning network infrastructure. DM's MVNE capabilities include:

- End-to-end MVNO platform hosting and management on behalf of client brands, in a fully multi-tenant environment.
- Established MNO wholesale relationships for competitive voice, SMS, and data rates.
- ICASA-compliant regulatory frameworks, including full RICA implementation via the DSG Paperless RICA solution.
- SIM card procurement, personalisation, and logistics management through established supply chains.
- Branded white-label consumer-facing portals and mobile applications.
- Call centre services operated in partnership with CXG, a specialist contact centre operator, managed by DM.
- Real-time billing prepaid and postpaid management, and South African payment rail integrations.
- Airtime and data distribution networks through established retail and distribution channels.

DM's deployment track record demonstrates the ability to take an MVNO concept from commercial agreement to live market service in approximately 60 days, subject to client readiness and MNO configuration timelines.

2.4 Key Personnel

Yaron Assabi — Chief Executive Officer, DSG. Yaron oversees the strategic direction of the DSG Group and brings extensive networks within the South African telecommunications and technology ecosystem. He is personally committed to the success of DM's MVNO partnerships.

The DM management and operations team includes dedicated project managers, solutions architects, BSS/OSS engineers, regulatory compliance specialists, call centre liaison managers, and account managers. A dedicated programme team will be assigned to the Telgea engagement for the full duration of implementation and into ongoing operations, ensuring continuity of relationship and institutional knowledge.

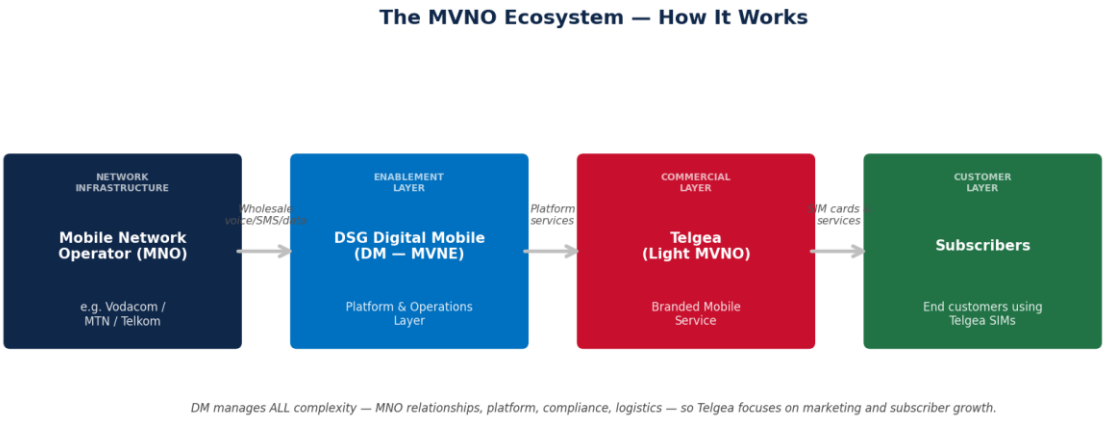


Figure 1: The MVNO Ecosystem — How the MNO, DM (MVNE), Telgea (MVNO) and Subscribers interact

3. The DSG Digital Mobile Platform

3.1 Platform Overview

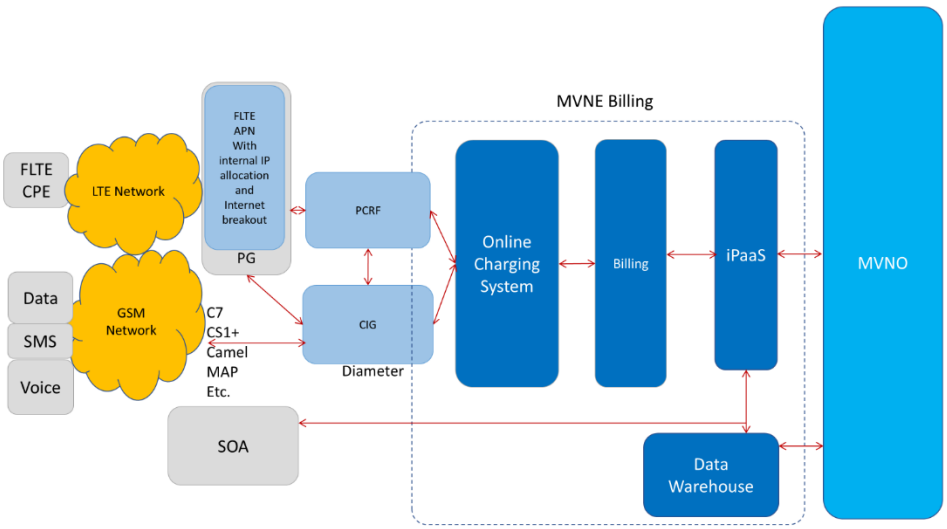
The DSG Digital Mobile Platform is a comprehensive, cloud-hosted MVNO operations platform built specifically for the South African market. It provides all the capabilities required to operate a fully functional MVNO — from subscriber acquisition and SIM provisioning through to real-time billing, customer self-service, and regulatory compliance — within a single, integrated environment. The Platform is the product of DM's years of investment and operational refinement, incorporating lessons learned from multiple live MVNO deployments.

The Platform is architected as a multi-tenant system, enabling DM to serve multiple MVNO operators simultaneously while maintaining complete logical separation of data, branding, commercial configuration, and operational workflows for each client. Telgea's instance is entirely isolated: Telgea's subscriber data, brand assets, service packages, and commercial configuration are accessible only by authorised DM and Telgea personnel.

3.2 Architecture and Infrastructure

The Platform is built on a modern, cloud-native microservices architecture, hosted on South African data centre infrastructure to ensure data sovereignty compliance and optimal network latency. The architecture provides:

- High-availability design with a 99.9% monthly uptime target, supported by redundant infrastructure across multiple availability zones and automated failover capabilities.
- Dynamically scalable compute and storage resources that grow automatically with subscriber volumes, eliminating manual capacity planning and preventing service degradation during rapid subscriber growth.
- API-first design enabling seamless integration with Telgea's existing business systems — CRM, ERP, loyalty platforms, digital channels, and third-party analytics tools.
- Real-time event processing pipelines for billing, provisioning events, and usage monitoring, enabling near-instantaneous subscriber experience updates.
- Comprehensive audit trails and tamper-evident logging to support regulatory compliance, dispute resolution, and forensic investigations.
- Uninterruptible power supply and generator backup at data centre level to mitigate the impact of load-shedding on platform availability.



3.3 BSS/OSS Capabilities

The Platform's Business Support System (BSS) and Operations Support System (OSS) components cover the full spectrum of MVNO operational requirements:

Subscriber Management

The subscriber management module handles the complete lifecycle of a mobile subscriber — from initial SIM registration through RICA verification, service activation, plan changes, bundle purchases, and ultimate deactivation. Subscriber records include full KYC documentation, RICA registration data, service configuration, usage history, billing history, and full interaction logs accessible to authorised Telgea management users.

Billing and Revenue Management

The billing module supports both prepaid and postpaid billing models, with fully configurable rate plans, bundle management, and real-time balance management for prepaid subscribers. The Platform handles all billing mediation, converting raw network usage data (CDRs) into customer-facing balance deductions, invoices, and statements. Integration with major South African payment rails enables seamless recharge processing through multiple channels including EFT, card, and retail vouchers.

Provisioning and Service Management

Service provisioning is fully automated, with the Platform communicating directly with the MNO's network systems to activate services, assign MSISDNs, configure data APNs, manage bundle profiles, and handle roaming settings. Service changes requested by subscribers via self-service channels are processed in near real-time, typically completing within seconds of the request.

Paperless RICA Compliance

The Platform includes DM's proprietary Paperless RICA module, enabling fully digital, compliant SIM registration in accordance with the Regulation of Interception of Communications Act. This eliminates the cost and complexity of paper-based RICA, improves data accuracy, enables remote customer acquisition, and significantly reduces the compliance burden for Telgea. The module supports real-time identity verification, biometric capture where required, and automated regulatory reporting.

Self-Service Portals and Mobile Application

White-label subscriber self-service portals — available as both web portal and mobile application for iOS and Android — are configured to reflect Telgea's brand identity and are deployed as part of the Phase 2 implementation. Subscribers can manage their accounts, purchase bundles, monitor real-time usage, update personal details, view billing statements, and access support without human intervention, significantly reducing call centre demand and improving customer satisfaction scores.

Reporting and Management Analytics

The Platform provides a comprehensive reporting suite accessible via a secure, role-based management portal. Telgea's management team will have access to real-time dashboards showing subscriber counts, revenue metrics, network usage trends, RICA compliance status, and customer service performance. Scheduled reports are distributed automatically at configured intervals, and ad hoc query capability enables Telgea to interrogate data independently.

3.4 Integration Capabilities

The Platform exposes a comprehensive set of REST APIs, enabling integration with Telgea's existing business systems. Full API documentation is provided as part of the Technical Specifications deliverable in Phase 1 and covers subscriber management, billing and payment, provisioning, RICA, reporting, and notification endpoints.

Webhook support enables real-time event-driven integrations for use cases such as loyalty programme triggers, CRM updates, and marketing automation.

3.5 Security and Data Protection

The Platform is designed and operated in accordance with ISO 27001-aligned security best practices, including AES-256 encryption of data at rest, TLS 1.3 encryption of data in transit, role-based access control with minimum-privilege principles, multi-factor authentication for all administrative interfaces, regular independent penetration testing, and formal incident response procedures. All personal data processed on the Platform is handled in strict accordance with the Protection of Personal Information Act (POPIA).

4. Market Opportunity

4.1 The South African Mobile Market

South Africa has one of the most developed mobile telecommunications markets on the African continent, with mobile penetration rates exceeding 100% when measured against active SIM cards. The market is served by four primary MNOs — Vodacom, MTN, Cell C, and Telkom Mobile — each of which offers MVNO wholesale services, creating a competitive and accessible wholesale market for new entrants. Total mobile revenue in South Africa exceeds R100 billion annually, with prepaid subscribers accounting for the significant majority of the market.

Consumer demand for affordable mobile data, innovative service bundles, and brand-aligned telecommunications offerings continues to drive SIM switching behaviour and price sensitivity. This creates a fertile environment for MVNO entrants who offer compelling value propositions to specific customer segments, leveraging their existing brand relationships and distribution capabilities.

4.2 The MVNO Landscape

The South African MVNO market has grown steadily since ICASA formalised the licensing and regulatory framework. Successful incumbents — including DSTV Internet, FNB Connect, MRP Mobile, and a number of community and enterprise-focused operators — have demonstrated that non-traditional telecommunications players can build and sustain meaningful subscriber bases by leveraging their existing customer relationships, distribution networks, and brand equity. These operators collectively serve millions of subscribers, validating the commercial model at scale.

MVNOs that succeed in South Africa share common characteristics: a strong existing customer relationship with their target market, a compelling value proposition beyond simple price competition, and a reliable technical platform and operational partner. Telgea's proposed entry is designed to leverage all three of these success factors from day one.

4.3 Regulatory Framework

ICASA (Independent Communications Authority of South Africa) regulates the South African MVNO market through its licensing framework under the Electronic Communications Act. MVNOs typically operate as Electronic Communications Service (ECS) licensees, conducting their retail mobile operations under a commercial wholesale agreement with a licensed MNO. DM's established MNO relationships and comprehensive compliance infrastructure ensure that Telgea's operation will be regulatory-compliant from the moment the first SIM is activated.

RICA (Regulation of Interception of Communications Act) mandates that all SIM cards be registered against verified subscriber identity details. Non-compliance attracts significant penalties and may result in SIM deactivation. DM's Paperless RICA solution addresses this requirement cost-effectively, enabling digital-first subscriber acquisition while maintaining full regulatory compliance.

POPIA (Protection of Personal Information Act) governs all collection, processing, storage, and use of personal information. DM's platform is built with POPIA compliance as a foundational design principle. The parties will enter into a formal Data Processing Agreement as part of the comprehensive service contract, establishing clear accountability for data protection obligations throughout the partnership.

4.4 The Opportunity for Telgea

The light MVNO arrangement offered by DM provides Telgea with the ideal entry vehicle into the South African mobile market. By leveraging DM's existing infrastructure, regulatory compliance framework, MNO wholesale agreements, and operational expertise, Telgea can focus its resources on subscriber acquisition, brand positioning, and customer experience — the areas where Telgea's own capabilities and market understanding are most valuable.

The light MVNO model minimises Telgea's capital exposure whilst providing the full operational capability of a mobile network operator. This enables Telgea to validate the market opportunity, build its subscriber base, and establish positive unit economics in a capital-efficient manner — before considering any deepening of its telecommunications investment in the future.

5. Scope of Work

The implementation programme is structured across two phases, each of approximately four weeks' duration, commencing from the date of signature of this proposal and confirmed receipt of the setup fee. The total programme duration from commencement to Go Live is approximately eight weeks. Both phases are governed by a formal project management framework, with milestone-based progress tracking and documented sign-off at each phase gate.

Phase 1: Implementation Scoping (Weeks 1 – 4)

Phase 1 establishes the complete technical, commercial, and operational blueprint for Telgea's MVNO. All four Phase 1 deliverables require formal written sign-off by both parties before Phase 2 work commences. Phase 1 is led by DM's solutions architecture and project management teams, with active participation required from Telgea's nominated project sponsor and subject matter experts.

5.1 Business Requirements Specification (BRS)

The Business Requirements Specification is the foundational document that captures all of Telgea's business requirements for the MVNO operation in comprehensive, structured form. The BRS covers the full scope of the mobile service offering, including target subscriber segments and personas, service packages and price plans, branding and identity requirements, subscriber acquisition channels (digital, retail, direct, agent), customer service model and escalation paths, billing and payment preferences, regulatory obligations, and any specific commercial or operational requirements unique to Telgea's business model.

DM's project team conducts structured discovery workshops with Telgea's nominated stakeholders — typically two to three focused sessions scheduled across the first week of Phase 1. Workshop outputs are documented by DM's business analysts, reviewed with Telgea's team, and compiled into a formal BRS document using DM's proven template structure. The draft BRS is shared with Telgea within three business days of the final discovery session.

The BRS is formally reviewed by both parties in a scheduled review session, during which open queries are resolved, and any required revisions are agreed. The finalised BRS is signed off by nominated representatives of both Telgea and DM and serves as the definitive requirements baseline for all subsequent Phase 1 and Phase 2 deliverables. Changes after sign-off are managed via a formal change request process to protect both parties from uncontrolled scope creep.

5.2 Technical Specifications

The Technical Specifications document translates the agreed BRS into a precise technical implementation blueprint. This document covers platform configuration parameters for Telgea's isolated MVNO instance, MNO network provisioning requirements (including MSISDN range allocation, HLR/HSS configuration, APN setup, and voice/SMS/data profile definitions), API integration specifications for any third-party or Telgea system integrations, SIM card specifications and personalisation requirements, RICA workflow configuration, billing plan and rate plan setup, branded portal specifications, and automated notification templates.

The Technical Specifications are developed by DM's solutions architects in close collaboration with the relevant MNO's technical team. DM takes primary responsibility for drafting this document, with Telgea's team actively reviewing to ensure alignment with the BRS. The document also includes a formal system test plan and UAT acceptance criteria that will be used during Phase 2 quality assurance activities.

Upon formal sign-off by both parties, the Technical Specifications become the authoritative configuration guide for DM's engineering team and the MNO's technical team during Phase 2 implementation. They also serve as the primary reference for technical troubleshooting, dispute resolution, and platform change management post-launch.

5.3 Customer Journey Mapping

Customer Journey Mapping is the process of documenting and designing the end-to-end experience of a Telgea subscriber, from initial awareness and acquisition through to ongoing service use, account management, and support interactions. This is a critical input to configuring the MVNO's subscriber-facing processes, automated communications, self-service tools, and call centre procedures to deliver a seamless, consistent customer experience.

DM facilitates a dedicated Customer Journey Mapping workshop with Telgea's customer experience and commercial teams, using DM's structured journey mapping methodology. The output is a set of detailed journey maps covering all key subscriber scenarios: initial SIM acquisition and RICA registration; first service activation and recharge; bundle purchase and usage monitoring; customer service interaction and complaint resolution; account management (plan changes, number porting, SIM swap); and renewal, dormancy, and churn prevention.

Each journey map identifies subscriber touchpoints, responsible parties (Telgea vs DM vs MNO vs CXG), system interactions, expected subscriber emotions and potential friction points, and improvement recommendations. The Customer Journey Maps directly inform the configuration of self-service portal workflows, automated notification triggers, IVR scripts, and call centre procedures. They are formally signed off by both parties and referenced throughout the ongoing operating relationship.

5.4 DARE Model Development

The DARE Model — Decision, Action, Responsibility, Execution — is DM's proprietary operational accountability framework developed specifically for MVNO partnership environments. In the MVNO context, operational complexity arises from the inherently distributed nature of the value chain: the MNO owns the network, DM operates the platform, CXG runs the call centre, and Telgea owns the subscriber relationship and brand. Without a clear accountability framework, this complexity can result in confusion, delays, and customer-impacting incidents.

The DARE Model addresses this challenge by documenting every material activity across the MVNO operation — from routine subscriber onboarding to billing disputes, network incidents, regulatory reporting, and fraud management — and explicitly assigning the Decision owner (who authorises the action), the Action owner (who executes), the Responsibility holder (who is accountable for outcomes), and the Execution timeline (when and how it happens). Every material scenario is mapped to a specific DARE entry, eliminating ambiguity at the operational boundary between Telgea and DM.

DM's operations team leads the DARE Model development workshop, drawing on its extensive experience from previous MVNO deployments. The resulting DARE Model document is reviewed and formally signed off by both parties, and then used as the basis for training both Telgea's and DM's operational teams in the weeks preceding Go Live. The DARE Model is a living document, reviewed and updated in quarterly operational reviews throughout the life of the partnership.

Phase 2: Implementation and Business Simulation (Weeks 5 – 8)

Phase 2 translates the signed-off Phase 1 deliverables into a fully configured, tested, and launch-ready MVNO operation. DM takes primary technical responsibility for Phase 2 execution, with Telgea's active participation required for User Acceptance Testing and Go Live readiness authorisation.

5.5 DM Builds MVNO Services on Platform

With the Technical Specifications formally signed off, DM's engineering team commences the full configuration of the DSG Digital Mobile Platform for Telgea's MVNO. This involves setup of Telgea's dedicated platform instance, including all subscriber management parameters, billing rate plans, bundle definitions, RICA workflow configuration, branded portal deployment (web and mobile), automated notification templates, reporting dashboard configuration, and all relevant API integrations specified in the Technical Specifications.

All platform configuration is performed initially in a dedicated staging environment, enabling thorough testing before any live network resources are consumed. DM's QA team conducts structured functional testing, regression testing, and performance testing against the test plan defined in the Technical Specifications. Identified defects are resolved and retested before advancing to UAT. Telgea's nominated project team is then invited to conduct UAT, working systematically through the subscriber journey scenarios defined in the Customer Journey Maps, and raising defects via DM's formal issue tracking process. UAT sign-off is required before proceeding to Phase 2 live network activities.

5.6 MNO Network Configuration

Once DM's platform UAT is signed off, the MNO partner proceeds to configure Telgea's MVNO at the network level. This involves provisioning Telgea's MVNO profile in the MNO's HLR/HSS, activating the MSISDN number range allocated to Telgea, configuring voice, SMS, and data service profiles, establishing the live interconnect between the MNO's network and DM's platform, and validating end-to-end call, SMS, and data service flows.

DM manages the MNO relationship throughout this process — coordinating technical exchanges, tracking delivery against the agreed activation schedule, escalating delays proactively, and validating all network-level configurations before proceeding to SIM card readiness. The MNO network configuration timeline is subject to the MNO's delivery capacity, which DM manages through active engagement from the commencement of Phase 1.

5.7 First SIM Batch Order

SIM cards for Telgea's MVNO are procured by DM through its established SIM supply chain. SIM cards are personalised (programmed with Telgea's network profile, allocated MSISDNs, and appropriate security keys) at the SIM manufacturer's secure facility, quality-inspected, and packaged according to Telgea's branding and packaging specifications. DM manages the full SIM lifecycle from specification and ordering through to delivery to Telgea's nominated distribution points.

The first batch size is agreed jointly between Telgea and DM based on the projected initial subscriber acquisition volume and lead time buffer requirements. DM maintains a minimum buffer stock to ensure that SIM card supply does not become a constraint on subscriber acquisition in the early weeks post-launch. Each SIM card is fully trackable in DM's platform from the point of manufacture through to subscriber activation and subsequent lifecycle events.

5.8 Go Live

Go Live is the commercially and operationally critical milestone at which Telgea's MVNO is opened to the market and subscribers can be acquired and activated. Before Go Live is authorised, DM conducts a formal Go Live Readiness Review covering: completeness and quality of all Phase 1 and Phase 2 deliverables; platform and network readiness in the live environment; call centre team training completion; SIM card stock availability; Telgea's subscriber acquisition channels and marketing readiness; and financial readiness (invoicing, payment processes, reporting).

Go Live is jointly authorised by DM's programme manager and Telgea's nominated project sponsor. A structured two-week hypercare period follows immediately after Go Live, during which DM deploys dedicated technical and operations resources to monitor the MVNO's performance in real time, respond to any incidents

with elevated priority, support Telgea's team as they gain operational confidence, and address any issues that emerge from the first wave of real subscriber activity.

6. Detailed Implementation Timeline

The following week-by-week project plan covers the full implementation programme from kick-off through to Go Live and the post-launch hypercare period. All timelines are indicative and are subject to formal confirmation in the project schedule agreed at the kick-off meeting. Milestone dates are contingent upon Telgea's timely provision of information, attendance at workshops, and prompt sign-off on all Phase 1 deliverables. Delays in Phase 1 sign-off will result in corresponding delays to the Phase 2 schedule, and DM will raise formal escalations for any sign-off delays exceeding five business days.

Week	Phase	Key Activity	Owner	Deliverable / Milestone
Week 1	Phase 1	Programme kick-off meeting. BRS discovery workshops (sessions 1 & 2). Stakeholder register agreed.	DM + Telgea	Workshop minutes; Project schedule
Week 2	Phase 1	BRS compilation and internal review. Technical Specifications drafting commenced. BRS discovery session 3 (if required).	DM	Draft BRS; Draft Technical Specs
Week 3	Phase 1	Customer Journey Mapping workshop. DARE Model workshop. BRS and Tech Specs review sessions with Telgea.	DM + Telgea	Draft Journey Maps; Draft DARE Model; Revised BRS
Week 4	Phase 1	Revision of all Phase 1 documents. Sign-off meetings. All Phase 1 deliverables formally executed.	DM + Telgea	Signed BRS; Signed Tech Specs; Signed Journey Maps; Signed DARE Model
Week 5	Phase 2	Platform staging configuration commenced. Billing rate plans, bundles, subscriber management setup. RICA workflow configured.	DM	Configured staging environment
Week 6	Phase 2	Branded portal deployed in staging. Automated notifications configured. DM internal QA testing. Telgea UAT commenced.	DM + Telgea	UAT sign-off report
Week 7	Phase 2	MNO live network configuration. SIM card batch order placed. Telgea team training on operational procedures and platform.	DM + MNO	Live network activated; SIM cards ordered; Training completed
Week 8	Phase 2	Go Live Readiness Review. Final checks. Go Live authorisation. Commercial launch to market.	DM + Telgea	Live MVNO service; Hypercare period begins
Weeks 9–10	Post-Launch	Two-week hypercare: intensive monitoring, rapid incident response, first-wave subscriber support, operational stabilisation.	DM	Hypercare completion report; Baseline operational metrics
Month 3+	Ongoing	Regular operations: monthly reporting, account management reviews, subscriber growth, platform enhancements.	DM + Telgea	Monthly reports; Quarterly DARE Model reviews

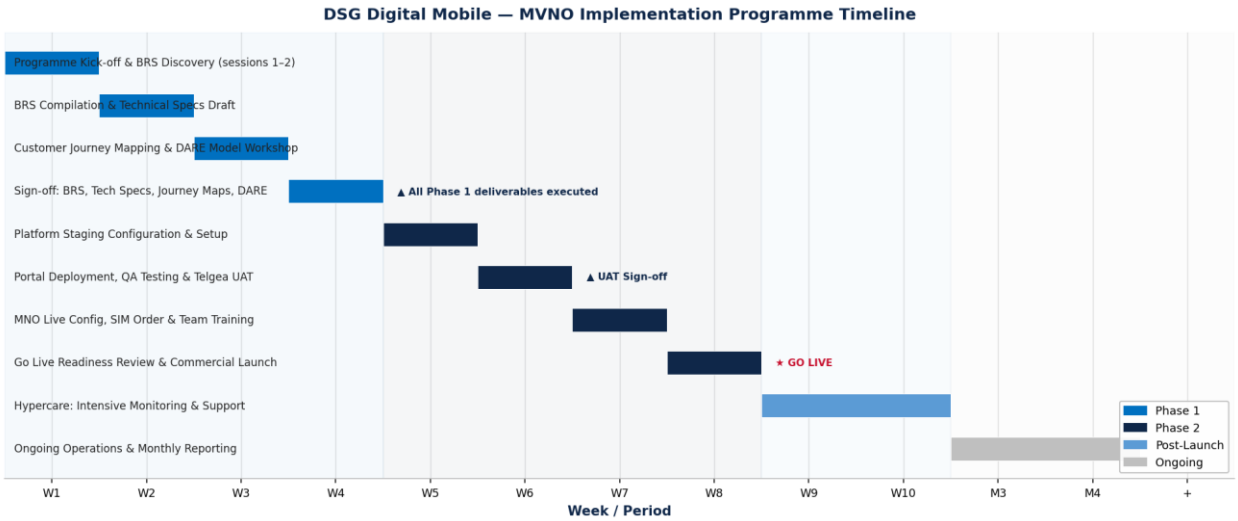


Figure 2: MVNO Implementation Programme Timeline — Week-by-week Gantt from Kick-off through Go Live to Ongoing Operations

7. Commercial Terms

7.1 Once-off Setup Fee — R250,000 (ex VAT)

A once-off Setup Fee of R250,000 (excluding VAT) is payable by Telgea to DM upon signature of this proposal and prior to commencement of any implementation activities. This fee represents the full cost of the two-phase implementation programme and covers:

- Project management and delivery of all four Phase 1 deliverables: Business Requirements Specification, Technical Specifications, Customer Journey Maps, and the DARE Model.
- Full Platform configuration and staging environment setup for Telgea's isolated MVNO instance.
- Branded subscriber portal design and deployment (web and mobile application).
- Integration testing with the MNO's network and end-to-end service validation.
- SIM card personalisation for the initial subscriber batch.
- Training for both Telgea's and DM's operational teams on the DARE Model and platform procedures.
- Go Live Readiness Review and commercial launch support.
- Two weeks of post-launch hypercare with elevated monitoring and support levels.

The Setup Fee is non-refundable once Phase 1 discovery activities have commenced. In the event Telgea elects to withdraw from the programme prior to Go Live, DM will provide a statement of work completed and any commercially reasonable credit for Phase 2 activities not yet commenced, as defined in the comprehensive contract.

7.2 Monthly Management and Platform Fee

From the month of Go Live, Telgea will be invoiced a monthly Management and Platform Fee calculated as R15 per active subscriber, subject to a minimum of R75,000 per month. An "active subscriber" is defined as a subscriber who has generated at least one chargeable network event (voice call, SMS, or data session) in the billing month, or who holds a positive prepaid account balance.

The minimum fee of R75,000 per month — equivalent to 5,000 active subscribers at the per-subscriber rate — provides DM with operational cost certainty during the initial growth phase, while the per-subscriber rate ensures that DM's commercial upside scales proportionately with Telgea's growth beyond 5,000 active subscribers. This structure creates genuine alignment of interest: DM's commercial outcome improves as Telgea's subscriber base grows.

The monthly fee is inclusive of: full platform hosting and operation; ongoing platform maintenance, security patching, and minor updates; standard reporting and analytics access via the management portal; second-line technical support in accordance with the SLAs in Section 8; and a monthly account management review meeting.

7.3 Subscriber Volume Profit Analysis

The table below models Telgea's monthly profit and loss position at four representative active subscriber volumes, assuming a conservative Average Revenue Per User (ARPU) of R100 per subscriber per month. Actual ARPU will depend on Telgea's pricing strategy and service mix, and may be higher in practice.

Metric (Monthly)	1 000 subs	5 000 subs	10 000 subs	25 000 subs
Revenue (ARPU R100)	R 100,000	R 500,000	R 1,000,000	R 2,500,000
Less: MNO Wholesale Costs	(R 50,000)	(R 250,000)	(R 500,000)	(R 1,250,000)
Less: DM Mgmt & Platform Fee	(R 75,000)	(R 75,000)	(R 150,000)	(R 375,000)

Metric (Monthly)	1 000 subs	5 000 subs	10 000 subs	25 000 subs
Less: Call Centre (R3/sub)	(R 3,000)	(R 15,000)	(R 30,000)	(R 75,000)
Less: Airtime Distribution (R7/sub)	(R 7,000)	(R 35,000)	(R 70,000)	(R 175,000)
Net Profit (Monthly)	**(R 35,000)**	**R 125,000**	**R 250,000**	**R 625,000**
Net Margin	Loss	25.0%	25.0%	25.0%

Key observations from the analysis: At 1,000 subscribers, the R75,000 minimum platform fee (versus R15,00 at the per-subscriber rate) results in a loss position at this ARPU. At 5,000 subscribers, the business becomes profitable, generating R125,000 net profit per month. At 10,000 subscribers, the monthly net profit reaches R625,000 — representing a 37.5% improvement in net margin over the 5,000-subscriber position. At 25,000 subscribers, the MVNO generates R2,450,000 net profit per month at R100 ARPU.

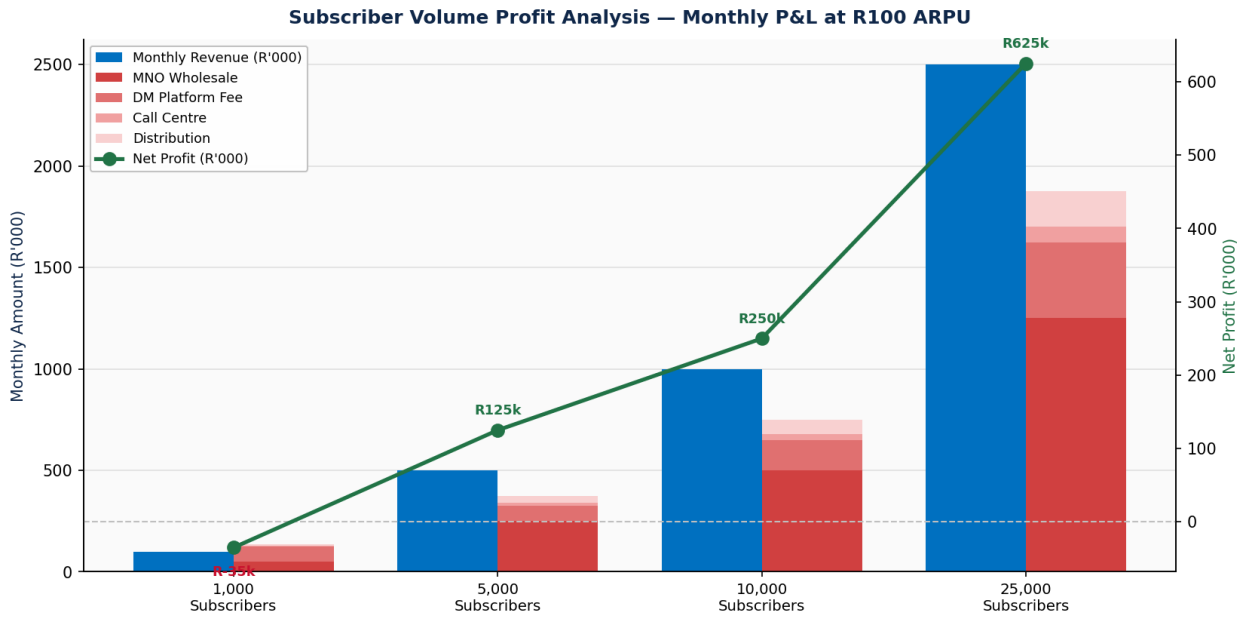


Figure 3: Subscriber Volume Profit Analysis — Monthly Revenue, Cost Components, and Net Profit at R100 ARPU

7.4 Break-Even Analysis

The monthly operational break-even point — the subscriber volume at which monthly revenues equal all monthly operating costs — is approximately 5,000 active subscribers at R100 ARPU. At this volume, monthly costs comprise R250,000 wholesale, R75,000 DM platform fee (minimum), R15,000 call centre, and R35,000 airtime distribution, totalling R375,000 against revenue of R500,000, yielding a net profit of R125,000.

Recovery of the R250,000 once-off Setup Fee from monthly net profits, assuming a 5,000-subscriber base is achieved by month three post-launch, occurs within approximately two months of sustained profitability. DM strongly recommends that Telgea's initial subscriber acquisition and marketing strategy is designed to reach the 5,000 active subscriber thresholds within the first three to six months of Go Live.

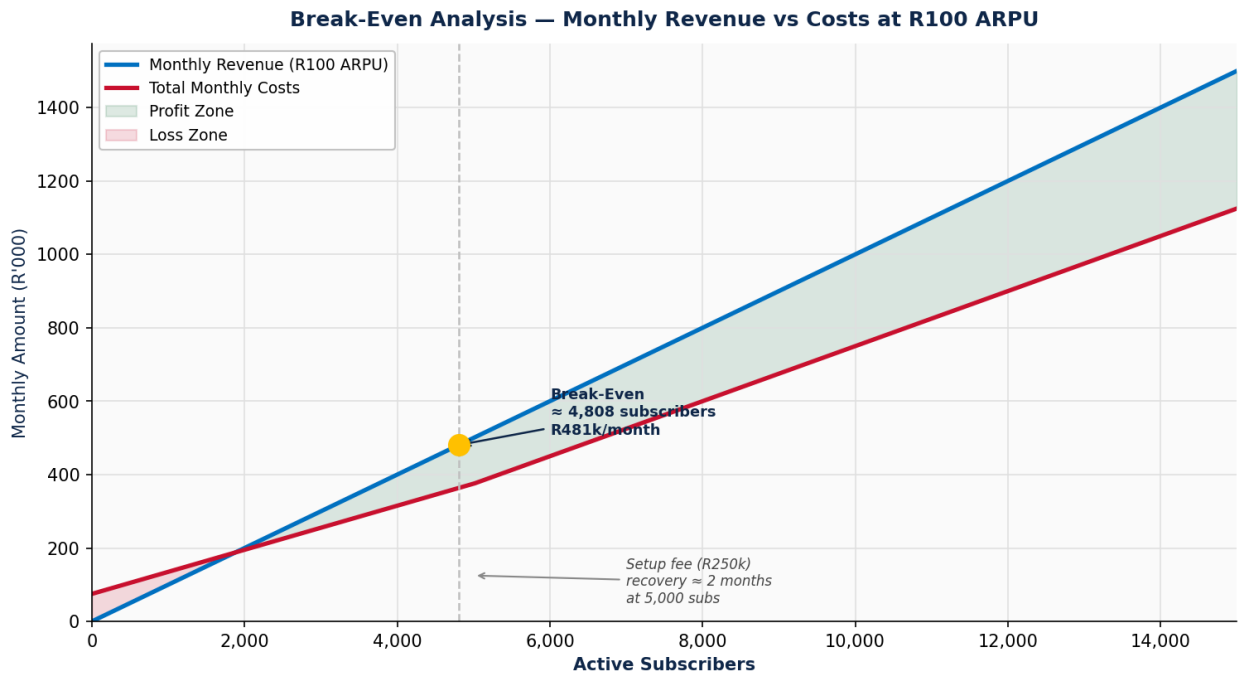


Figure 4: Break-Even Analysis — Monthly Revenue vs Total Costs showing break-even at approximately 4,808 active subscribers

7.5 Once-off Costs Per New Subscriber Acquisition

In addition to the monthly fees above, Telgea should budget for the following once-off costs incurred for each new subscriber acquired:

Cost Item	Unit Cost (ex VAT)	Notes
SIM Card (personalised)	R 12.00	Per SIM card issued to subscriber
Paperless RICA Registration	R 21.00	Per SIM registered via digital RICA workflow
Logistics / SIM Delivery	R 40.00	Per SIM dispatched by courier (where applicable)
Total Per New Subscriber (with logistics)	**R 73.00**	**Where courier delivery applies**

Note: Logistics costs apply where SIM cards are dispatched to subscribers by courier. Where subscribers collect SIM cards from a retail point or Telgea's own distribution channels, the R40 logistics cost may be reduced or eliminated entirely. The RICA registration cost of R21 is mandatory for all SIM activations in terms of the RICA legislation.

7.6 Other Monthly Service Options

The following optional services are available and may be included in Telgea's MVNO configuration at Telgea's election. Where costs are reflected as DM's responsibility in the MVNO partnership model, they are netted against the profit model as shown in Section 7.3. Where costs are reflected as Telgea's responsibility, they are borne directly by Telgea and are not included in the profit model above.

Service	Cost	Cost Responsibility	Notes
Telgea Network Name	R 250,000 (once-off)	Telgea	MNO network name registration; branding cost
Call Centre (CXG/DM managed)	R 3 per sub/month	DM	Included in profit model example
Logistics (SIM delivery)	R 40 per SIM	DM	Per delivery event; where courier required
Airtime Distribution	R 7 per sub/month	DM	Via DM's retail and distribution channels
SIM Card Costs	R 12 per SIM	DM	Per personalised SIM card issued
Paperless RICA	R 21 per SIM	DM	Per digital RICA registration
Web Development	By quotation	Telgea or DM	DM white-label option available; price on application

7.7 Payment Terms

- Setup Fee: Payable in full by EFT within 3 business days of signing this proposal, prior to commencement of Phase 1 activities.
- Monthly fees: Invoiced monthly in arrears, within 5 business days of month-end. Payment due within 30 days of invoice date.
- Late payment: Overdue amounts attract a penalty of 2% per month, compounded monthly, from the due date until the date of full payment.
- Disputed invoices: Telgea must raise disputes in writing within 10 business days of receipt. Undisputed portions remain due and payable.
- Currency: All amounts are denominated in South African Rand (ZAR). DM reserves the right to recalibrate pricing subject to USD/ZAR exchange rate movements, with 30 days' written notice.

8. Service Level Agreements

DM commits to the following service levels in respect of the DSG Digital Mobile Platform and associated services provided to Telgea. These SLAs will form a schedule to the comprehensive Master Services Agreement to be entered into by the parties, and are subject to refinement during the Phase 1 scoping process where specific operational requirements justify adjustment.

Metric	Commitment	Measurement	Reporting	Remedy / Escalation
Platform Availability	99.9% per calendar month	24/7 automated monitoring	Monthly SLA report	Service credit: 5% of monthly fee per 0.1% shortfall below target
New SIM Provisioning	Activation within 4 hours of successful RICA registration	Platform timestamp logs	Monthly report	Investigation within 2 business hours; remediation report
Billing Accuracy	99.95% of CDRs correctly rated	Monthly CDR audit	Monthly report	Credit for overbilled amounts; investigation report within 5 days
P1 — Platform Outage	Acknowledge: 15 min. Target resolution: 4 hours	Support ticket timestamps	Per-incident report	Service credit where SLA not met; post-mortem report within 48 hours
P2 — Major Service Degradation	Acknowledge: 30 min. Target resolution: 8 hours	Support ticket timestamps	Per-incident report	Escalation update every 2 hours; root cause report within 24 hours
P3 — Single Subscriber / Minor Issue	Acknowledge: 2 hours. Resolution: 2 business days	Support ticket timestamps	Weekly summary report	Standard support process; no financial credit
RICA Processing	Registration processed within 1 business hour of digital submission	Platform timestamp	Monthly compliance report	Remediation report for any failures
Monthly Reporting Pack	Delivered by 5th business day of following month	Report delivery log	Per report	Reschedule within 3 business days of any missed delivery
Account Management Review	Monthly, scheduled minimum 5 days in advance	Meeting records	Meeting minutes within 2 days	Reschedule within 5 business days if missed

8.1 Planned Maintenance

DM will schedule platform maintenance activities during defined maintenance windows, communicated to Telgea at least 48 hours in advance by written notice. Standard maintenance windows are between 22:00 and 04:00 South African Standard Time on weekday evenings, or at weekends. Planned maintenance time is excluded from availability calculations provided the required notice is given. Emergency maintenance required to address a critical security or stability issue may be conducted outside scheduled windows, with immediate notification to Telgea.

8.2 Incident Management

Telgea's team reports incidents to DM's dedicated support desk via the support portal, support email address, or telephone hotline — all provided at the Go Live meeting. Every incident receives a unique reference number, acknowledgement within the SLA timeframes above, and regular status updates throughout the resolution process. Priority 1 (P1) and Priority 2 (P2) incidents trigger immediate escalation to DM senior management. A formal post-mortem and root cause analysis is conducted for all P1 and P2 incidents, with the resulting report shared with Telgea within 48 hours of resolution.

8.3 SLA Exclusions

SLA commitments do not apply where unavailability or degradation is caused by: (a) events outside DM's reasonable control, including MNO network outages, upstream internet service provider failures, or force majeure events; (b) actions by Telgea, Telgea's subscribers, or Telgea's third-party integrations that compromise platform integrity or security; (c) scheduled maintenance within communicated maintenance windows; or (d) failure of Telgea's own systems or connectivity.

9. Roles and Responsibilities (RACI Matrix)

The RACI matrix below defines the roles of each party across all key activities throughout both phases of implementation and in ongoing operations. R = Responsible (performs the work); A = Accountable (owns the outcome, signs off); C = Consulted (provides input or review); I = Informed (receives updates but does not act). Where both DM and Telgea share accountability (A/A), joint decision-making is required. Detailed operational responsibilities within each DARE entry complement this matrix.

Activity	DM	Telgea	MNO / CXG	Notes
PHASE 1: IMPLEMENTATION SCOPING				
BRS Discovery Workshops — facilitation	R	A/C	-	DM leads; Telgea SMEs required
BRS Document — drafting	R	C	-	Telgea reviews draft within 3 days
BRS — final sign-off	C	A	-	Both parties sign
Technical Specifications — drafting	R	C	C	MNO input required for network specs
Technical Specifications — sign-off	C	A	C	MNO validates network sections
Customer Journey Mapping — facilitation	R	A/C	-	DM leads; Telgea CX team required
Customer Journey Maps — compilation	R	C	-	Telgea reviews draft
DARE Model — workshop facilitation	R	A/C	-	All operational stakeholders attend
DARE Model — documentation	R	C	-	Telgea reviews and inputs
DARE Model — sign-off	C	A	-	Both parties sign; used for training
PHASE 2: IMPLEMENTATION & BUSINESS SIMULATION				
Platform staging configuration	R	I	-	DM executes per Tech Specs
Branded portal deployment	R	A/C	-	Telgea approves brand application
RICA workflow configuration	R	I	-	Per RICA compliance requirements
Billing rate plan setup	R	A/C	-	Telgea approves plans match BRS
UAT — test execution	C	R	-	Telgea team executes UAT scenarios
UAT — sign-off	C	A	-	Telgea sign-off required to proceed
MNO network configuration	A	I	R	DM coordinates with MNO; manages timeline
MSISDN range activation	A	I	R	MNO activates allocated number range
SIM card procurement & personalisation	R	A	C	DM manages supply chain
Telgea team training	R	A/R	-	DM facilitates; Telgea team attends

Activity	DM	Telgea	MNO / CXG	Notes
Go Live Readiness Review	R	A	C	Joint review; both parties must sign off
Go Live authorisation	C	A	C	Telgea project sponsor authorises launch
ONGOING OPERATIONS				
Subscriber onboarding (RICA + activation)	R	I	C (MNO)	DM platform automates; MNO provisions
Platform 24/7 monitoring	R	I	C	DM NOC monitors; MNO informed of P1 events
Incident response and resolution	R	A	C	DM manages; Telgea kept informed
Monthly billing and invoicing	R	A	-	DM invoices; Telgea approves subscriber counts
Call centre operations	R (via CXG)	I	CXG	CXG day-to-day; DM manages CXG relationship
Monthly management reporting	R	A	-	Delivered by 5th business day
Regulatory compliance (RICA, POPIA)	R/A	A	-	Joint accountability; DM leads operational compliance
Pricing and tariff changes	C	A/R	-	Telgea decides pricing; DM implements
Marketing and subscriber acquisition	I	R	-	DM provides data and reporting support
MNO commercial relationship	R	I	A	DM manages wholesale relationship
Quarterly DARE Model review	R	A	-	Reviewed and updated jointly

10. Risk Register

The following risk register identifies key risks across technical, commercial, regulatory, and operational dimensions for the Telgea MVNO programme. Risk ratings reflect the product of likelihood and impact assessments. DM includes a formal risk review as a standing agenda item in all monthly account management meetings, and this register will be reviewed and updated at a minimum on a quarterly basis throughout the life of the partnership.

Risk Description	Likelihood	Impact	Rating	Mitigation Strategy
TECHNICAL RISKS				
MNO network configuration delays extend Go Live timeline	Medium	High	HIGH	DM maintains dedicated MNO escalation contacts. MNO engagement initiated in Week 1 of Phase 1. Weekly tracking against MNO delivery milestones.
Platform defects discovered during Telgea UAT	Low	Medium	MEDIUM	Comprehensive DM internal QA before UAT. Defined defect SLAs. Staging environment mirrors live configuration.
SIM card supply chain disruption or delays	Low	Medium	MEDIUM	SIM orders placed in Week 5. Multiple supplier relationships maintained. Buffer stock policy in place.
Platform scalability issues during rapid subscriber growth	Low	High	MEDIUM	Cloud-native auto-scaling architecture. Load testing conducted pre-Go Live. Capacity monitoring in place.
COMMERCIAL RISKS				
Subscriber acquisition slower than projected; break-even delayed	Medium	High	HIGH	Break-even model shared with Telgea upfront. Joint acquisition planning pre-launch. Monthly subscriber growth reviews. DM provides channel and data analytics support.
USD/ZAR exchange rate increases input costs materially	Medium	Medium	MEDIUM	Contract includes 30-day notice pricing recalibration clause. Cost drivers communicated transparently. Hedging strategies discussed if volumes justify.
ARPU declines below R100 modelling assumption	Medium	Medium	MEDIUM	Monthly ARPU monitoring in reporting pack. Joint commercial review triggered if ARPU falls more than 15% below target for two consecutive months.
MNO wholesale pricing changes reduce margins	Low	High	MEDIUM	Long-term wholesale agreements in place. Material changes managed through contractual pricing review process with advance notice.
REGULATORY RISKS				
RICA non-compliance by subscribers or operational failures	Medium	High	HIGH	Paperless RICA mandatory for all activations. Automated compliance monitoring. Non-compliant SIMs deactivated within statutory timeframes. Monthly RICA reporting.
POPIA breach — unauthorised disclosure of subscriber data	Low	High	MEDIUM	POPIA-compliant platform by design. Data Processing Agreement signed. Regular security audits. Breach notification procedure in place. Staff training mandatory.
ICASA regulatory or licensing changes affecting MVNO framework	Low	Medium	LOW	Continuous regulatory monitoring by DM. Legal counsel engaged for material changes. Licence conditions incorporated into operating procedures.
OPERATIONAL RISKS				

Risk Description	Likelihood	Impact	Rating	Mitigation Strategy
Key DM personnel attrition affecting service continuity	Low	Medium	**MEDIUM**	Documented operational runbooks for all processes. Cross-training of team members. Succession planning in place. Account continuity commitment in comprehensive contract.
Telgea stakeholder changes delay sign-offs and approvals	Medium	Medium	**MEDIUM**	Sign-off accountabilities confirmed at kick-off. 5-day sign-off SLA in DARE Model. Formal escalation process defined.
Customer complaints damage Telgea brand reputation	Medium	Medium	**MEDIUM**	DARE Model defines complaint handling clearly. CXG call centre provides professional subscriber support. Monthly NPS monitoring. Rapid escalation path for serious complaints.

11. Terms and Conditions

The terms and conditions in this section ("Terms") govern the relationship between Digital Mobile (Pty) Ltd ("DM") and Telgea ("Client") in respect of the MVNO enablement services described in this proposal. These Terms constitute the commercial and legal framework agreed between the parties at proposal acceptance and will be elaborated upon and incorporated, in comprehensive form, into the Master Services Agreement ("MSA") to be entered into by the parties within 10 business days of acceptance.

11.1 Proposal Validity

This proposal is valid for 30 days from the date of issue, being 25 March 2026, and accordingly expires at midnight on 24 April 2026. DM reserves the right to withdraw or revise this proposal prior to formal acceptance. Acceptance is constituted by the signature of an authorised representative of Telgea on the Proposal Acceptance page at Section 13 of this document, together with receipt by DM of the Setup Fee payment. DM will confirm acceptance in writing within one business day of receipt of both the signed proposal and Setup Fee.

11.2 Comprehensive Master Services Agreement

This proposal constitutes a letter of intent and commercial terms summary. The parties' full rights, obligations, and remedies will be set out in a comprehensive MSA and associated schedules — including service schedules, SLA schedules, data processing agreements, intellectual property provisions, and exit provisions — to be negotiated in good faith and executed by both parties within 10 business days of this proposal's acceptance. DM will provide a template MSA for Telgea's review promptly upon acceptance.

In the event of conflict between this proposal and the MSA once executed, the MSA shall prevail, save that the commercial terms set out in Section 7 shall not be materially varied to Telgea's detriment without Telgea's prior written consent. Prior to execution of the MSA, this proposal constitutes the binding commercial agreement between the parties to the extent necessary to commence Phase 1 activities.

11.3 Payment Terms and Late Payment Penalties

The Setup Fee is payable in full by electronic funds transfer to DM's designated bank account (details provided with the DM invoice) within three business days of signing this proposal. Phase 1 activities will not commence until confirmed receipt of the full Setup Fee. All subsequent monthly fees are invoiced in arrears within five business days of the last day of the billing month and are due and payable within 30 days of the invoice date.

If any amount remains unpaid beyond its due date, interest shall accrue at 2% per month (compounded monthly) from the due date until the date of full payment in cleared funds. DM reserves the right to suspend all or part of the platform services if any invoiced amount remains unpaid for more than 15 calendar days after its due date, following provision of not less than five business days' written notice. Suspension of services does not relieve Telgea of its obligation to pay all outstanding amounts, including accrued interest. DM's right to claim any amounts due is not affected by any suspension or termination.

11.4 Pricing Adjustments and Exchange Rate

All pricing in this proposal is based on rates and costs current as at the date of issue. DM reserves the right to recalibrate pricing elements that are subject to underlying cost movements outside DM's control, including USD/ZAR exchange rate fluctuations, MNO wholesale price revisions, SIM card procurement cost changes, and changes in statutory levies or regulatory costs. Any such recalibration is subject to the following conditions:

- DM shall provide Telgea with a minimum of 30 calendar days' written notice of any proposed price adjustment, with full justification for the adjustment.
- No single price adjustment shall exceed 10% of the affected fee component in any 12-month period without Telgea's written consent.
- Telgea may, within 15 calendar days of receiving notice, accept the adjustment or invoke the dispute resolution process under Clause 11.10. Continued use of the platform services after the effective date of an adjustment constitutes acceptance.

11.5 Invoicing and Reporting

DM will issue tax-compliant invoices, addressed to Telgea's nominated billing contact, by the fifth business day of each calendar month in respect of fees for the preceding billing month. Each invoice will be accompanied by a supporting report detailing active subscriber counts, itemised fee calculations, and (from the second month of operations) a comparison against the prior month. Telgea shall raise any bona fide invoice dispute in writing within 10 business days of receipt of the invoice. Undisputed amounts remain due and payable in accordance with Clause 11.3 regardless of any dispute in respect of other line items.

11.6 Implementation Timeline and Dependencies

The indicative implementation timeline of approximately eight weeks from commencement to Go Live is dependent on both parties fulfilling their obligations on schedule. Telgea's obligations that directly affect the programme timeline include: providing the required documentation, brand assets, and authorised signatories promptly when requested; ensuring that relevant Telgea personnel attend all scheduled workshops; providing written sign-off on Phase 1 deliverables within five business days of presentation for review; and completing UAT within the agreed schedule.

DM will not be responsible for any delay in the implementation timeline caused, directly or indirectly, by Telgea's failure to meet its obligations as described above. DM will communicate any anticipated delay on its own side as early as practicable and will work collaboratively with Telgea to recover programme time wherever reasonably practicable.

11.7 Intellectual Property Rights

DM and its licensors retain all intellectual property rights in the DSG Digital Mobile Platform, all associated software, documentation, processes, and methodologies, including (without limitation) the Paperless RICA solution, the DARE Model framework, all platform source code, algorithms, database schemas, user interface designs, and all derivative works thereof. Nothing in this proposal or the MSA shall be construed as transferring any ownership of DM's or DSG's intellectual property to Telgea.

Telgea retains all intellectual property rights in its brand assets, trademarks, subscriber data, and any proprietary content provided by Telgea to DM for use in the MVNO operation. DM is granted a limited, revocable, non-exclusive, non-transferable licence to use Telgea's brand assets solely for the purpose of deploying and operating the white-label MVNO platform on Telgea's behalf. This licence terminates immediately and automatically upon the termination or expiry of the service agreement. Any jointly developed intellectual property will be addressed as a separate schedule in the MSA; in the absence of a specific written agreement to the contrary, all platform configurations, customisations, and enhancements developed by DM shall remain the sole intellectual property of DM.

11.8 Confidentiality and Non-Disclosure

Each party (the "Receiving Party") undertakes to maintain the strict confidentiality of the other party's (the "Disclosing Party's") confidential information, and to use such information solely for the purpose of performing its obligations or exercising its rights under this proposal and the MSA. Confidential information includes, without limitation, commercial terms, subscriber data, platform architecture, technical specifications, business strategies, financial information, pricing structures, and the contents of this proposal. Confidential information may only be disclosed to employees, contractors, or professional advisors who have a legitimate need to know and who are bound by obligations of confidentiality no less strict than those in this clause.

The obligations in this clause do not apply to information that: (a) is or becomes publicly available through no act or omission of the Receiving Party; (b) was rightfully in the Receiving Party's possession before disclosure; (c) is independently developed by the Receiving Party without reference to the Confidential Information; or (d) is required to be disclosed by applicable law, court order, or regulatory direction, provided that the Receiving Party gives the Disclosing Party prompt prior written notice and co-operates in seeking appropriate protective orders. The confidentiality obligations in this clause shall survive the termination or expiry of the service agreement for a period of five years.

11.9 Termination

Following the expiry of an initial minimum commitment period of 12 months from the Go Live date, either party may terminate the MSA by providing not less than 90 calendar days' written notice to the other party. Either party may terminate the MSA immediately upon written notice if the other party: (a) commits a material breach of the MSA and fails to remedy that breach within 30 calendar days of receiving written notice identifying the breach; (b) becomes insolvent, is placed in provisional or final liquidation, is placed in business rescue, or enters into a compromise or arrangement with its creditors generally; or (c) engages in conduct that is fraudulent, dishonest, or that materially and demonstrably damages the other party's reputation.

Upon termination or expiry of the MSA, DM shall: (a) continue to operate the platform for a transition period of up to 90 days at Telgea's reasonable request, subject to continued payment of all applicable fees; (b) provide Telgea with a complete export of all subscriber records, billing data, and RICA registration records in a mutually agreed standard format within 10 business days of the effective termination date; and (c) co-operate in good faith with Telgea's transition to a replacement platform or service provider. DM's obligations in this clause are conditional upon payment of all amounts due by Telgea as at the date of termination.

11.10 Dispute Resolution

The parties shall use their best endeavours to resolve any dispute, controversy, or claim arising out of or in connection with this proposal or the MSA through good-faith negotiation. The party asserting the dispute shall deliver a written dispute notice to the other party, identifying the nature of the dispute and the relief sought. Within 10 business days of the dispute notice, nominated senior representatives of both parties shall meet (in person or via video conference) to attempt resolution.

If the dispute is not resolved within 30 calendar days of the dispute notice, either party may refer the dispute to expedited arbitration administered by the Arbitration Foundation of Southern Africa (AFSA), conducted before a single arbitrator to be agreed upon by the parties (or, failing agreement within 10 business days of the referral, appointed by AFSA). The arbitration shall be conducted in Johannesburg, in English, in accordance with AFSA's expedited rules. The arbitrator's award shall be final, binding, and enforceable. Nothing in this clause prevents either party from seeking urgent interdict or other urgent relief from a competent court.

11.11 Force Majeure

Neither party shall be liable for any failure or delay in the performance of its obligations to the extent that such failure or delay is caused by a Force Majeure Event, being any event beyond that party's reasonable control, including (without limitation) acts of God, natural disasters, pandemic or epidemic, war, terrorism, civil unrest, strikes or labour disputes not involving that party's own employees, governmental actions, MNO network-wide outages not arising from any act of DM, or failure of third-party infrastructure suppliers. Load-shedding by Eskom is specifically acknowledged as a Force Majeure Event in the South African context, and DM's data centre infrastructure includes uninterruptible power supply and diesel generator backup to mitigate its impact.

The affected party shall notify the other in writing within two business days of becoming aware of a Force Majeure Event, describing the event and its expected duration. If a Force Majeure Event continues for more than 30 consecutive calendar days, either party may terminate the affected obligations on 10 calendar days' written notice, without liability for such termination. Obligations unaffected by the Force Majeure Event shall continue uninterrupted.

11.12 Data Protection — POPIA Compliance

Both parties acknowledge their respective obligations as responsible parties and/or operators under the Protection of Personal Information Act 4 of 2013 ("POPIA") and its Regulations. DM, in its capacity as the operator of the platform processing Telgea's subscriber personal information, undertakes to: (a) process personal information only on Telgea's documented instructions and for no other purpose; (b) implement and maintain appropriate technical and organisational security measures to protect against loss, damage, and unauthorised access to personal information; (c) assist Telgea in responding to data subject requests (access, correction, objection, deletion) within the statutory timeframes; (d) notify Telgea without undue delay, and in any event within 72 hours, of becoming aware of a personal information security compromise affecting Telgea's subscriber data; and (e) upon termination or expiry of the MSA, return all personal information to Telgea in the agreed format and securely delete or destroy all copies remaining in DM's possession, unless retention is required by applicable law.

The parties shall execute a formal Data Processing Agreement as a schedule to the MSA, incorporating all prescribed elements under Section 20 of POPIA and providing for adequate safeguards where any cross-border processing of personal information is contemplated. Each party shall bear responsibility for its own POPIA compliance obligations and shall promptly inform the other of any material changes to its processing activities that may affect the other party's compliance position.

11.13 Limitation of Liability

To the fullest extent permitted by applicable South African law, DM's aggregate liability to Telgea under or in connection with this proposal or the MSA, whether in contract, delict (including negligence), statute, or otherwise, shall not exceed the total fees paid by Telgea to DM in the 12-month period immediately preceding the event giving rise to the claim. Neither party shall be liable to the other for indirect, special, incidental, punitive, or consequential loss or damage — including loss of profits, loss of revenue, loss of business, loss of anticipated savings, or loss of goodwill — whether or not such loss was foreseeable or the party had been advised of its possibility. Nothing in these Terms limits or excludes liability for: (a) fraud or fraudulent misrepresentation; (b) death or personal injury caused by negligence; (c) gross negligence or wilful misconduct; or (d) any liability that cannot be excluded or limited by applicable South African law.

11.14 Governing Law and Jurisdiction

This proposal and the MSA shall be governed by and construed in accordance with the laws of the Republic of South Africa, without regard to its conflict of law principles. The parties irrevocably consent, for the purpose

of obtaining urgent interdict or other urgent relief ancillary to the arbitration process, to the jurisdiction of the South Gauteng High Court, Johannesburg, and waive any objection to such jurisdiction on the grounds of venue or inconvenient forum.

12. Proposal Acceptance

By signing below, the duly authorised representative of Telgea confirms acceptance of this proposal and the terms and conditions set out herein and authorises Digital Mobile (Pty) Ltd to commence Phase 1 implementation activities upon confirmed receipt of the Setup Fee of R250,000 (ex VAT).

FOR AND ON BEHALF OF DIGITAL MOBILE (PTY) LTD

Signature: _____

Name: Yaron Assabi

Designation: Chief Executive Officer

Date: 25 March 2026

FOR AND ON BEHALF OF TELGEA

Signature: _____

Name: _____

Designation: _____

Date: _____

By signing this proposal, Telgea acknowledges that:

1. This proposal is valid for 30 days from 25 March 2026, expiring on 24 April 2026.
2. Acceptance constitutes agreement to the commercial terms and general terms and conditions set out in this document.
3. The parties will enter into a comprehensive Master Services Agreement within 10 business days of the date of acceptance.
4. No implementation activities will commence until the Setup Fee of R250,000 (ex VAT) has been received by DM in cleared funds.
5. This proposal and all information contained herein are confidential and for the exclusive use of Telgea and its authorised advisors.